

A New Bull Market with a New Big Bull

Indian IT companies were getting popular with investors, but it would be some more months before the mania of the scale seen in the US was replicated here. Shares of leading Indian IT companies like Infosys, Satyam and Wipro had a decent run in anticipation of bumper earnings for at least the next couple of years.

At the heart of this unexpected bonanza for the industry was the Y2K bug. To save on memory space, the internal clocks of computers provided dates with six digits – two for the day, two for the month, and two for the year. As there were no digits provided for a millennium change, it was feared that on 1 January 2000 computer systems across the world would automatically reset, unable to figure the ‘00’ at the end of the date line. Fixing the problem called for massive numbers of software code writers to screen millions of lines of computer code and correct the fault.

All of a sudden the spotlight was on India. We were the only country that could provide the volume of manpower required for the job at a fraction of what it would cost in the developed world. Another unexpected stroke of fortune for India was the spurt in undersea fibre-optic cable lines between India and the US. Using fibre-optic cable-connected workstations, software engineers in Hyderabad could fix the codes of computer systems of companies in the US to make them Y2K-ready. This marked the beginning of the great outsourcing wave that would continue for many years to come.

Amid all this hand-wringing over the approaching Y2K doom, the great dotcom boom in the US was gaining strength with each passing day. ‘Internet’ had become the buzzword from the mid-1990s onwards, spurred